

Synthomer SYNT

August 20, 2026 - 11:15am EST
by

Woolly18

			2026	2027
Price:	0.99	EPS	0	0
Shares Out. (in M):	175	P/E	0	0
Market Cap (in \$M):	173	P/FCF	0	0
Net Debt (in \$M):	671	EBIT	0	0
TEV (in \$M):	844	TEV/EBIT	0	0

Description

Investment Thesis

Synthomer is a £170mm equity stub on an £840mm enterprise value with a £150-200mm divestment program and durable FY26 earnings inflection the market has dismissed as entirely a Middle East conflict windfall. Divestments in the next several months should knock off 0.3x-0.5x turns of leverage (current pre-divestitures midpoint of YE26 net leverage guidance is 4.2x), and when coupled with positive earnings revisions should lead to some minor multiple expansion. The trifecta should deliver 50-100% upside in the next 6-12 months.

Segment Overview

Synthomer (SYNT.LN) is a UK-listed producer of water-based polymers (dispersions, latices, and resins) sold as intermediate ingredients to formulators who make finished products. There are three segments.

Coatings and Construction Solutions ("CCS," ~40% of revenue and ~40% of AEBITDA) sells binders and additives into architectural coatings (31% of segment revenue), consumer materials (24%), construction chemicals (22%), industrial coatings (13%), and oilfield drilling chemicals (10%). Customers are primarily paint and coating manufacturers (ex: Sherwin Williams) and construction chemical companies.

Adhesive Solutions ("AS," ~30% of revenue and ~40% of AEBITDA) sells pressure-sensitive and hot-melt polymers into tapes and labels (35% of segment revenue), assembly (25%), tires (14%), plastic modification (11%), packaging (9%), and hygiene (6%). They sell into companies like Henkel, H.B. Fuller, Michelin, and Goodyear.

High-Performance Polymers and Performance Materials ("HPPM," ~30% of revenue and ~20% of AEBITDA) is nitrile butadiene rubber (NBR) latex for medical and industrial gloves (~50% of segment revenue) plus a European paper, carpet, foam, and specialty vinyls tail. Synthomer is the number two NBR latex producer globally and ships roughly 90% of that volume into the Malaysian glove cluster from its Pasir Gudang site in Malaysia.

Brief Company History

The company today is the wreckage of a debt funded roll-up. Prior CEO Calum MacLean acquired Hexion's latex business (2016), OMNOVA (2020), and then Eastman's adhesive resins business for \$1 billion at the top of the chemicals cycle in 2021 at 10.3x LTM AEBITDA. This last deal was financed against Covid-peak nitrile earnings that artificially inflated AEBITDA. Nitrile is the key chemical component for single-use medical gloves, for which Covid was a large one-time demand shock. Nitrile AEBITDA went from £80-90mm pre-pandemic to roughly £300mm in 2021 before collapsing to £10-20mm once Chinese capacity flooded the market. Synthomer's other chemicals businesses have also struggled, with consolidated AEBITDA declining from £522mm at the peak in FY21 down to £137mm in FY25. As net leverage ballooned, the company raised capital via a 2023 rights offering that issued six new shares for every one held, followed by a 20-for-1 reverse split. The stock is down more than 95% over five years on the underlying business contraction, dilutive actions, and leverage fears.

Michael Willome joined the company as CEO in December 2021 following the Eastman Adhesives acquisition and at the peak of the cycle. He was previously CEO at Conzzeta (now Bystronic) where he inherited a conglomerate and sold-off non-core businesses. Kuala Lumpur Kepong (KLK), a Malaysian palm oil and oleochemicals group, owns 27% of Synthomer and has provided balance sheet support to the company. In December 2025, KLK purchased £50mm of trade receivables to give SYNT covenant relief at year end ahead of an April refinancing.

Why Does the Opportunity Exist

Synthomer has been un-investable since 2023 for three reasons, but the tides have now turned on all of these.

1. Solvency. Net leverage was 5.0x at YE25 before a receivables transaction with KLK allowed the company to dodge a covenant violation, bringing reported net leverage to 4.7x for their year-end report. Debt was set to go current mid-year, and a February 2026 Sky News article reported the company was exploring a £100mm+ equity raise, tanking the stock to an all-time low of 16p.

Synthomer refinanced its debt in April 2026 extending the revolver and UKEF facilities out to 2029 with the nearest corporate debt maturity not coming until February 2029. The covenant schedule was relaxed: 6.25x by YE26 stepping down to 5.25x at YE27 before normalizing to 4.25x at YE28. Management is guiding to 4.0-4.35x net leverage for year-end 2026, giving them roughly two turns of headroom on the covenant that was previously a significant part of the bear case.

2. Cyclical/Structural Pressure. All of Synthomer's significant end markets were in retreat: European construction and architectural coatings have been in recession for three years, automotive and oilfield drilling followed, and the medical glove market absorbed a decade of Chinese nitrile capacity built during Covid.

The earnings decline has stopped, with improvement mostly driven by self-help in AS and end-market improvements in CCS rather than temporary Hormuz driven relief in commodity HPPM businesses. Guidance posture has changed too: management framed FY26 as only "slightly ahead" of a compiled FY26 consensus (£160mm) while their own bridge math on the call arrives at £168mm, which is the first time since 2022 the guide has been set below what the business is delivering.

3. Divestment Program Has Yet to Produce Results. Four separate sale processes have been described as "underway" since early 2025. European SBR was paused and relaunched; Acrylate Monomers slipped repeatedly until they ultimately paid to get rid of it. The only completed disposal of consequence so far has been William Blythe in June 2025 for £30mm. So far, it has been a disappointment.

However, we believe the divestment program has advanced from a talking point to active processes, with management providing target close dates by end of year.

Investment Point #1: The Divestment Program Should Produce the Entire Market Cap of the Company. Management has guided to £150-200m of divestment proceeds against a £170mm market capitalization, and the processes are in late stages with identifiable buyers rather than being merely exploratory.

	TTM Revenue	AEBITDA Low	AEBITDA Mid	AEBITDA High	AEBITDA Margin on Midpoint	Company Proceeds Low	Company Proceeds Mid	Company Proceeds High	AEBITDA Multiple on Mid
Divestiture Proceeds Estimates (GBP)									
Nitrile NBR	240	15	18	20	7%	110	125	140	7.1x
Specialty Chem	20	8	9	9	43%	60	70	80	8.2x
European SBR	200	0	5	10	3%	30	30	30	6.0x
Bottom Up Three Sales Processes	460	23	31	39	7%	200	225	250	7.3x
Top Down Divestiture Proceeds Guide						150	175	200	5.6x

Source: company reports, sell-side analysts, and our estimates.

The NBR latex business is expected to be first to go with potential proceeds of £110-140mm on £15-20mm of normalized AEBITDA. We believe multiple parties are interested, including Top Glove (an Asian glove manufacturer integrating upstream) and Kumho (an Asian competitor with complementary technology), two of the largest players in the glove manufacturing value chain.

We have heard that the specialty chemicals business (£20mm revenue, £8-9mm AEBITDA at a 40-45% margin) has received interest from both strategics and financial buyers. While the situation is fluid, we believe the most likely buyer could be a strategic buyer out of Japan at a £60-80mm valuation on a similar timeline.

Performance Materials, the European SBR paper, carpet, and foam business, is likely the process in the earliest stages and is the least valuable. We estimate ~£30mm in proceeds with the added benefit of £7-9mm of annual capex reduction upon disposal.

Acrylate Monomers, already announced, closes in September and removes a £10mm AEBITDA drag from the P&L as well as £5mm of annual maintenance capex.

There is obviously inherent risk for a company that seems like a forced seller: 1) buyers/sellers may not value the assets in the same ballpark, 2) fundamental improvement could lead management to retain the assets, and 3) there may be disagreement between management, the Board, and shareholders over the corporate action leading to alternative outcomes. Our numerous conversations with management over the past year lead us to believe they are rational with expectations and universally motivated on the corporate direction. Our one area of pushback is the program timeline and proceeds have both slipped from what was originally communicated.

Additionally, the refinancing means there is no forced-seller dynamic; management has said they would hold out for the last £15-20mm, but not the last dollar. Proceeds will go towards retiring UK bank debt, and completing the program takes net debt to £440-480mm depending on the gross to net proceeds spread, bringing covenant net leverage below 4.0x.

CEO Willome has executed on a divestiture program at his prior role as CEO of Conzzeta, which he ran from January 2016 to April 2021. His former company was a five-unit Swiss conglomerate doing CHF1.14 billion of revenue. In December 2019, he announced the group would focus on its sheet metal processing business (Bystronic) and sell everything else, and then he executed the entire program in roughly fifteen months. Glass Processing sold to Glaston in 2019; Schmid Rhyner to Altana in early 2020; FoamPartner to Recticel at a CHF 270mm enterprise value that March; and Mammut to Telemos at CHF 230mm in April. The rationale then was that the businesses sold lacked a leading global position at critical size. Our conversations with former executives under Willome were somewhat bearish on his operating track record as he has not demonstrated an ability to operationally fix struggling assets. But the task in front of him at Synthomer relies less on an operating turnaround and more on performing portfolio surgery on a deadline, which he has already done at the public company level.

Investment Point #2: The FY26 Profit Inflection is Mostly Coatings Improvement and Self-Help, Not a Middle East Windfall.

FY26 AEBITDA estimates have been revised from £151mm to £167mm since mid-June (vs. £137mm in FY25). The market mostly attributes the FY26 upgrade to the Hormuz disruption when in reality the company credits only £6m of one-time Middle East disruption benefit. Management's updated FY25 to FY26 AEBITDA bridge follows with a reasonable upside case in the right-hand column.

	Management Guide	Upside Case
YE26 AEBITDA Bridge		
Reported FY25 AEBITDA	137	137
Continuing FY25 AEBITDA (A) (Baseline)	146	146
1H26 Self Help / Growth (A)	8	8
1H26 Iran Non-Recurring EBITDA (A)	6	6
2H26 Self Help / Growth (E)	8	8
2H26 AS Reliability (Dutch/TX) Savings (E)	0	5
Unexplained Delta	(3)	0
FY26 AEBITDA (E)	165	173

A. = Actuals, (E) = Estimates.

- Continuing FY25 AEBITDA excludes a £9mm negative impact, mostly from the divested Acrylate Monomers business and is the baseline for the AEBITDA bridge.
- 1H26 showed £8mm of sustainable growth from the more specialty CCS segment: intumescent coatings sold into data centers, an energy solutions coating business diversifying away from the Middle East, and a return to construction growth in Asia. This growth is expected to repeat in 2H26.
- The data center product specifically went from essentially nothing two years ago to £5mm in FY25 AEBITDA to now a £1mm-per-month AEBITDA run-rate in FY26.
- The Middle East impact (temporary +£6mm impact) primarily benefited the NBR Latex business, which is up for sale, and therefore should not be a huge headwind to pro-forma continuing AEBITDA once the business is divested.
- Notably, the building blocks the company gives for the bridge add up to £168mm vs. the £165mm they want the sell-side to conservatively anchor consensus towards. Management's own math supports slight upside to that figure.
- 1H26 also saw £10mm of incremental costs due to plant reliability issues in AS across both their Texas and Netherlands facilities. The Netherlands facility is back up and running as of August, and we see this as likely potential upside to the FY26 guide (we assume they capture half of this headwind back in the "upside case" column).
- Recovery in European construction, American housing, or any windfall from anticipated German infrastructure stimulus are further sources of positive upside to results.

Net Effects and Valuation

Pro-forma for the asset sales, Synthomer's leverage would drop below 4.0x and the portfolio would be around 75-85% specialty chem. This would also position the company for a mid-2027 refinancing executed from a position of strength. Additionally, exiting the NBR latex and Performance Materials businesses would allow Synthomer to effectively wind down their HPPM segment, pulling out up to £20mm of capex with opportunities to reduce corporate spend and lower the consolidated cost base. We are not making the case that this company should suddenly re-rate to a specialty chem multiple, but the reduced leverage and more focused portfolio should garner at least a 0.5-1.0x multiple improvement in our opinion.

- Pro-forma AEBITDA should decline £20-25mm after divestitures and subsequent restructuring from a base of £165mm in FY26. SYNT expects a thin gross-to-net spread on proceeds as they will pay very little cash taxes. We use a conservative £133mm of net proceeds in our base case that all goes towards paying down debt. Our base case assumes moderate multiple expansion (from 5.0x forward AEBITDA to 5.5x pro-forma AEBITDA) to get to £1.60 per share, roughly 60% upside from today's levels. Obviously, a company like this is highly sensitive to multiple expansion and every half-turn adds ~50% to the target price.
- Upside case: SYNT hits the high end of their gross proceeds target (£200mm), FY26 delivers our reasonable upside case of £173mm (£150mm of pro-forma AEBITDA after divestitures), and the specialty chem mix shift gets them a 6.0x pro-forma AEBITDA multiple. This yields a £2.60 price target, +160% from current levels.
- Downside case: we assume only the commodity NBR and SBR businesses – which we believe the company is more motivated to get rid of – close at a combined £100m in gross proceeds. Pro forma AEBITDA slips on a combination of failed cost takeouts or end-market weakening to £140mm, and FY26 net debt comes in at the high end of management expectations (£645mm). At the current trough multiple of 5.0x, this scenario produces a £0.63 per share case, -37% from today's levels.

Pro Forma Target Valuation (£)	Downside	Base	Upside
Pro Forma Post-Divestiture AEBITDA	140	143	150
Multiple on Pro-Forma AEBITDA	5.0x	5.5x	6.0x
Pro Forma TEV	700	784	902
FY26e Net Debt (Management Range) (a)	(645)	(615)	(615)
Gross Proceeds	100	150	200
Net Proceeds (b)	88	133	178
Pro Forma Net Debt (a + b)	(557)	(481)	(437)
Lease Liabilities	(40)	(40)	(40)
Pro Forma Equity Value	103	263	425
Shares Outstanding	164	164	164
Per Share Value	£0.63	£1.60	£2.59
Today Share Price	£1.00	£1.00	£1.00
Upside/Downside	-37%	60%	159%

Risks

Divestiture Slippage or Price Disappointment. None of the final three deals are signed. These are non-binding indications and one exclusive negotiation, and the recent precedent is discouraging. Acrylate Monomers was given away with £5mm of working capital attached after initial targets of £15-20mm in proceeds. Performance Materials is a low-quality commodity chem business with £200mm of revenue and 0-5% AEBITDA margins depending on the point in the cycle. Management has conceded that they are less focused on what this specific business fetches, and we expect slippage in proceeds could occur here. The subtler risk is that deals close at the low end or below management's numbers. £100-125mm of net proceeds on £20-25mm of departing AEBITDA is a 4-5x multiple compared with a YE26 net leverage midpoint of 4.2x. The gap between the high and the low end of the £150-200mm range determines whether the divestiture program is a significant de-leveraging event or close to leverage neutral. Slippage on timeline is a further risk to dead-money in this stock.

Structural European Chemicals Decline. CCS, which has driven most of the FY26 earnings recovery, is a macro exposed segment. European chemicals face structurally higher energy costs, Chinese overcapacity and dumping, and persistently weak end-market demand. German fiscal stimulus, which has been the bull case for construction and coatings since 2024, remains stuck in procurement bureaucracy. Europe has implemented steel tariffs to protect domestic industry from China and discussions are underway for similar protections in chemicals. We view a potential recovery from a multi-year trough as a source of upside in the medium-to-long term, and our thesis does not rely on a broad-based macro improvement.

Management Credibility. Michael Willome's demonstrated skill set is shrinking a conglomerate to a core, not operationally repairing mid-margin commoditized chemical assets. Willome did not do the Eastman Adhesives deal at the top of the cycle (\$1.0 billion purchase price at 10.3x LTM AEBITDA in 2021) but joining the company immediately after the deal is an implicit endorsement of the acquisition that put the company in the weak financial position it is in today. Synthomer relentlessly missed numbers from 2023-2025 as European chemicals cratered. On the flip side, Willome has demonstrated a strong ability to take out cost, more than doubling the Adhesive Solutions AEBITDA (£31mm in FY23 to £66mm in FY25) with declining revenues over the same period. We are primarily underwriting a balance sheet outcome and cost base rightsizing on the RemainCo, which Willome's track record supports.

Stranded costs and RemainCo cash conversion. The disposals remove roughly £460mm of revenue, about a quarter of the group, against a corporate cost base of £20mm. Management acknowledges roughly £10mm of stranded costs and expects one to two years to remove them; they also expect RemainCo capex to fall from £70mm to roughly £50mm after restructuring. The timeline these savings are delivered will determine if the pro-forma cash generation compounds the deleveraging in the near-term.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- asset divestitures
- positive earnings revisions
- refi

Messages

Subject	Other View
Entry	08/21/2026 02:51 AM
Member	huqiu

I was actually surprised that they had to pay to get rid of Sokolov - honestly, I think quite a few of the remaining business lines are materially worse (not on owned sites, etc) than Sokolov. Their debt is incredibly high (and I'm a chemicals bull) and frankly, the Chinese are becoming more, not less competitive.

So in a nutshell, this is a hail mary trade to hope that a macro recovery will help them get their debt under control? I don't see them having any chance of repaying even half the financial debt through a 3-4 year upcycle due to (in my view) them probably further skimping on maintenance capex on the even historically badly maintained Omnova plants, but that's me.

Why would you pick this one over LXS (if European), or CE / CC?